UNITED STATES BANKRUPTCY COURT

FOR THE DISTRICT OF NEW MEXICO

In re: ROMAN CATHOLIC CHURCH OF THE ARCHDIOCESE OF SANTA FE, a New Mexico corporation sole, Debtor.

Chapter 11

Case No. 18-13027-t11

MEMORANDUM OF POINTS AND AUTHORITIES IN SUPPORT OF MOTION OF THE OFFICIAL COMMITTEE OF UNSECURED CREDITORS FOR EXCLUSIVE AND IRREVOCABLE AUTHORITY TO COMMENCE, PROSECUTE, AND SETTLE ADVERSARY PROCEEDINGS ON BEHALF OF BANKRUPTCY ESTATE AGAINST CERTAIN DIOCESE-RELATED ENTITIES; AND TO COMPEL THE DEBTOR TO PRODUCE INFORMATION REVEALING THE TEN PARISHES WITH THE LARGEST PURPORTED INTERESTS IN THE DEPOSIT AND LOAN FUND

The Official Committee of Unsecured Creditors (the "Committee") of the Roman Catholic Church of the Archdiocese of Santa Fe, a New Mexico non-profit corporation ("ASF" or the "Debtor") moves: (i) for the exclusive and irrevocable authority to commence, prosecute, and settle three complaints against two trusts created by the Debtor, against the the trustees, and certain representative parishes (the "Parishes") as purported beneficiaries of the trusts; and (ii) to compel ASF to produce information revealing the ten parishes with the largest purported beneficial interests in the Deposit and Loan Fund. The complaints include claims for avoidance of fraudulent transfers and interests under 11 U.S.C. sections 544 and 550 ("Fraudulent Transfers"), claims to avoid alleged unrecorded interests in real property, as well as claims for the avoidance of transfers to self-settled trusts under 11 U.S.C. section 548(e) and declaratory relief that the assets held in the self-settled trusts constitute property of the estate pursuant to 11

U.S.C. section 541 (collectively, the "Self-Settled Trust Claims").[1]The Committee seeks standing to file three complaints in substantially the forms attached to the Declaration of Kenneth H. Brown ("Brown Decl.") as Exhibits A, B, and C.

I. INTRODUCTION

The lynchpin of ASF's reorganization is a determination of what constitutes property of the estate. In the face of escalating claims by childhood sexual abuse survivors (the "Survivors"), prior to filing bankruptcy, ASF engaged in a massive and fraudulent scheme to place its assets beyond the reach of its creditors, while ensuring the Archbishop remained in control of the assets. The scheme was intended to remove hundreds of millions of dollars of assets from ASF's balance sheet and into self-settled, revocable trusts controlled by ASF and the Archbishop. This was accomplished by a corporate restructuring (the "Restructuring") consisting of, among other things, the incorporation of previously unincorporated Parishes and the formation of two revocable self-settled trusts controlled by ASF—one for the receipt of ASF's real estate (the "RE Trust"), and one for the receipt of ASF's financial assets, otherwise known as funds from the Deposit and Loan Fund (the "DLF Trust"). Between 2013 and 2018, ASF's assets were transferred to these trusts without consideration. As of the Petition Date, the Parishes were separately incorporated, ASF's financial assets had been transferred to the DLF Trust, and most (but not all) of its real property had been transferred to the RE Trust.

ASF now disclaims any interest in hundreds million dollars' worth of real property and financial assets held in the RE Trust and the DLF Trust, as well as real properties that remain titled to ASF, asserting that these assets are held in an equitable trust for the benefit of the Parishes. The Committee seeks authority to avoid the fraudulent transfers to the RE Trust and the DLF Trust, obtain declaratory relief that the assets held by these trusts are subject to the claims of creditors and are property of the estate because the trusts are self-settled and revocable by

[1]The Committee's proposed Adversary Actions include claims for declaratory relief that certain assets are property of the estate. While Court approval of derivative standing is required to pursue an action pursuant to Bankruptcy Code sections 544 and 548, permission is not required to determine property of the estate under section 541. See, e.g., Committee of Tort Litigants v. Catholic Diocese of Spokane, 2006 U.S. Dist. LEXIS 6025 at *5 (E.D. Wash. Jan. 24, 2006) (stating that committee did not have to receive "specific permission . . . to bring an adversary action to determine the assets of the estate"), rev'd in part on other grounds, 364 B.R. 81 (E.D. Wash. 2006).

ASF, and avoid the Parishes' purported unrecorded interests in the real estate that remains titled to ASF.

The Committee seeks authority to file, prosecute, and settle the claims set forth in three complaints ("Complaints") that seek to bring over $245,000,000 of value into the estate for the benefit of creditors and to undo ASF's pre-bankruptcy asset protection scheme. The Complaints are summarized as follows:

"RE Trust Complaint": A complaint against The Archdiocese of Santa Fe Real Estate Corporation, as the sole trustee of the RE Trust, ASF and ten representative parishes that are the purported beneficiaries of the RE Trust ("RE Trust Complaint") to (i) to avoid the fraudulent transfers to the RE Trust; (ii) obtain declaratory relief that the RE Trust is a self-settled trust and therefore its assets are subject to the claims of ASF's creditors and property of the estate; and (iii) injunctive relief compelling ASF to exercise its right to revoke the RE Trust. The ten representative parishes have been chosen based on the Committee's understanding of the substantial value of their purported beneficial interests in the trust. A copy of a draft of the RE Trust Complaint is attached to the Brown Decl. as Exhibit A.

"DLF Trust Complaint": A complaint against Rev. Msgr. Lambert J. Luna, Rev. John Cannon, Rev. Timothy A. Martinez, Rev. Clarence Maes, Rev. John Trambley, Very Rev. James Marshall, Rev. Msgr. Bennett J. Voorhies, Tony Salgado, Jennifer Cantrell, Bernard E. "Gig" Brummell, and Stan Sluder, solely in their capacity as trustees of The Archdiocese of Santa Fe Deposit and Loan Fund, ASF, and ten representative parishes on essentially the same grounds as the RE Trust Complaint with respect to investment assets ("DLF Trust Complaint"). The Committee intends to name the ten parishes with the largest alleged beneficial interests in the Deposit and Loan Fund and has twice requested this information from ASF. ASF has not provided it to the Committee. A copy of a draft of the DLF Trust Complaint is attached to the Brown Decl. as Exhibit B.

"Complaint to Avoid Unrecorded Interests": A complaint against ASF and ten representative parishes pursuant to 11 U.S.C. 544(a)(3) to avoid the alleged unrecorded interests

of the parishes in real property titled to ASF and quiet title ("Complaint to Avoid Unrecorded Interests"). The ten representative parishes have been selected based on the Committee's understanding that they assert beneficial interests in property titled to ASF with substantial value. A copy of a draft of the Complaint to Avoid Unrecorded Interests is attached to the Brown Decl. as Exhibit C.

The Committee brings this Motion for standing to prosecute these claims because ASF suffers from a profound and irreconcilable conflict as it is the architect of the fraudulent scheme to put its assets beyond the reach of its creditors. It has no intention or interest in fulfilling its fiduciary duties to the estate and its creditors. Its primary objective is to keep these assets out of the estate and out of the reach of its creditors rather than to maximize the assets of the estate. As set forth below, the estate has strong factual and legal grounds to pursue these claims and the prosecution of these claims will benefit the estate.

To date, the Committee and ASF have engaged in four days of in-person mediation and numerous additional calls with the mediators, and have been unable to reach an acceptable compromise. The Committee believes that litigation to determine the estate's interest in assets that are the subject of the foregoing Complaints is critical to advance settlement discussions toward a consensual plan of reorganization and, in the absence of a global settlement, to value the estate's assets and any contributions by non-debtor parties that seek releases in the event of a cram down plan.

II. FACTUAL BACKGROUND

A. The Restructuring

1. In late 2007, ASF began to consider the Restructuring to insulate its assets from the claims of the Survivors. Brown Decl., Exh. G (Agenda re ASF Corporate Reorganization); Exh. H (Presbtyteral Meeting Minutes, p. 2: "protection of parish assets from settlements from litigation"). The Restructuring involved incorporation of approximately ninety-two parishes, the formation of the RE Trust and the DLF Trust, and transfer of ASF's real estate and financial assets to the two trusts, respectively, without consideration. Brown Decl., Exh. I (Parish

Incorporation PowerPoint). Documents were executed to effectuate the Restructuring on January 1, 2013, although the actual transfer of ASF's assets took place over time.

B. The RE Trust

2. Effective January 1, 2013, ASF, as the sole settlor/grantor, created the RE Trust for the purpose of receiving transfers of ASF's real property and placing those assets out of the reach of its creditors. A copy of the Indenture of Trust of the RE Trust ("RE Trust Indenture") is attached as Exhibit J to the Brown Decl.

3. Shortly before the trust creation, in December 2012, ASF created the Archdiocese of Santa Fe Real Estate Corporation ("RE Corp."), a nonprofit corporation organized under the law of the State of New Mexico. Brown Decl., Exh. K (RE Corp. Articles of Incorporation). RE Corp. is the sole trustee of the RE Trust. Brown Decl., Exh. J (RE Trust Indenture, ¶ 5).

4. Pursuant to the Bylaws of RE Corp., the Archbishop is the sole member of RE Corp. and controls ASF. The Archbishop appoints and removes RE Corp.'s directors and holds power over all actions of RE Corp. as trustee, including the purchase, sale, lease, or improvement of any real estate held or used by the RE Trust. Brown Decl., Exh. L (RE Corp. Bylaws, Articles IV and V).

5. ASF was the sole grantor/settlor of the RE Trust. Brown Decl., Exh. J (RE Trust Indenture, ASF defined and referred to as "Grantor").

6. Paragraph 2.d of the RE Trust Indenture expressly states that ASF is a beneficiary of the RE Trust. Brown Decl., Exh. J (RE Trust Indenture ¶ 2d: Beneficiaries defined).

7. Paragraph 12 of the RE Trust Indenture expressly provides that the RE Trust is revocable by ASF. Brown Decl., Exh. J (RE Trust Indenture, ¶ 12: "The Grantor may terminate the Trust by delivering written notice to the Trustee.").

8. The stated purpose of the RE Trust is to "support the religious, charitable and educational purposes" of ASF, the Parishes, and other affiliated entities. Brown Decl., Exh. J (RE Trust Indenture, ¶ 4).

9. Effective January 1, 2013, as part of the Restructuring, ASF, on the one hand, and RE Corp. as trustee for the RE Trust, on the other hand, entered into a Real Estate Support Services Agreement pursuant to which ASF maintains control of the real property transferred to the RE Trust under the guise of providing real estate, construction, and property management services. Brown Decl., Exh. M (RE Support Services Agreement). Accordingly, creation of the RE Trust served to divest ASF of legal title to real property, while it continues to exercise complete control over the use and disposition of all real property.

10. Based on the Committee's review and analysis of documents produced by ASF, the Committee believes that between January 1, 2013 and the Petition Date, ASF cumulatively transferred real properties (the "RE Trust Transfers") that ASF values in excess of $163 million to the RE Trust without consideration. Brown Decl., ¶ 18.

11. The RE Trust Transfers were typically made by Special Warranty Deed from ASF to RE Corp. for the benefit of a named parish, without consideration or reference to any consideration. An example of a transfer by Special Warranty Deed is attached to the Brown Decl. as Exhibit N.

12. The RE Trust Transfers have not been fully disclosed on ASF's Statement of Financial Affairs (as amended, "SOFA") and Schedules of Assets and Liabilities because many of the transfers took place more than two years prior to the Petition Date. ASF acknowledges that during the two-year period prior to the Petition Date, it transferred real properties to the RE Trust valued at more than $34.2 million. Brown Decl., Exh. O (SOFA Exh. 4, Docket No. 95-4). As discussed below, ASF did not complete its anticipated transfers to the RE Trust prior to the Petition Date so additional real property remains legally titled with ASF, which ASF contends is equitably held in trust for the benefit of its parishes, notwithstanding the absence of any written trust agreements.

C. The DLF Trust

13. Effective January 1, 2013, ASF as the sole settlor/grantor, created the DLF Trust for the purpose of receiving its financial assets and placing them out of the reach of its creditors as

part the Restructuring. A copy of the Indenture of Trust of the DLF Trust ("DLF Trust Indenture") is attached as Exhibit P to the Brown Decl.

14. ASF was the sole grantor/settlor of the DLF Trust. Brown Decl., Exh. P (DLF Trust Indenture at p. 1; ASF defined and referred to as "Grantor").

15. Paragraph 2(e) of the DLF Trust Indenture expressly states that ASF is a "Participant" of the DLF Trust. According to the recitals, the Trustees (defined below) hold legal title of the trust fund exclusively for the benefit of each respective Participant. Brown Decl., Exh. P (RE Trust Indenture, ¶ 2(e): Participants defined).

16. Paragraph 14 of the DLF Trust Indenture expressly provides that the DLF Trust is revocable by ASF. Brown Decl., Exh. P (DLF Trust Indenture, ¶ 14: "The Grantor may terminate the Trust by delivering written notice to the Trustees.").

17. Like the RE Trust, the stated purpose of the DLF Trust is to "support the religious, charitable and educational purposes" of ASF, the Parishes, and other affiliated entities. Brown Decl., Exh. P (DLF Trust Indenture, ¶ 4).

18. Control of the DLF Trust rests exclusively with the named trustees ("Trustees"), who are appointed by and serve at the pleasure of the Archbishop of ASF. Brown Decl., Exh. P (DLF Trust Indenture, ¶ 5).

19. Pursuant to the Bylaws of the DLF Trust, the Archbishop appoints ex-officio Trustees who shall serve so long as they hold the specified office or position with ASF, subject to removal at any time by the Archbishop. Accordingly, the Trustees hold the following positions within ASF: Vicar General, Chancellor, Members of the Executive Board of the Presbyteral Counsel of ASF, Executive Director of Finance, Chair of the Finance Council, Chair of the Investment Committee, and Chair of the Real Estate Committee. Brown Decl., Exh. Q (DLF Trust Bylaws, ¶ 1).

20. Effective January 1, 2013, ASF, on the one hand, and the Trustees of the DLF Trust, on the other hand, entered into an agreement entitled, "Transfer of Assets," pursuant to which ASF transferred to the DLF Trust, without consideration, all of ASF's interest in assets consisting

of the "Deposit & Loan Fund" that was owned by ASF prior to the transfer (collectively, the "DLF Trust Transfers"). The transfer agreement does not specify the accounts or account balances transferred to the DLF Trust. See Brown Decl., Exh. R (Transfer of Assets agreement).

21. The Committee is informed and believes that the physical transfer of assets constituting the DLF Trust Transfers took place in or about June 2013, notwithstanding the date of the Transfer of Assets agreement. Brown Decl., Exh. S (Finance Council Meeting Minutes, p. 1).

22. ASF's audited financial statements for the period ending June 2013 show that ASF made DLF Trust Transfers of financial assets worth approximately $25.5 million, which ASF reported on the financial statements as assets held for its Parishes and other church-related organizations. After ASF made the DLF Trust Transfers, various Parishes made additional contributions of cash and assets that were directed to the DLF Trust, such that the trust held approximately $36.7 million as of the Petition Date according to ASF's Statement of Financial Affairs. Brown Decl., Exh. T (SOFA, Item 21) and Exh. EE (2013 Financials, p. 20).

23. Effective January 1, 2013, ASF, on the one hand, and the DLF Trust, on the other hand, entered into a D&L Fund Support Services Agreement pursuant to which ASF maintains control of assets held in the DLF Trust under the guise of providing accounting and management services. Brown Decl., Exh. U (DLF Support Services Agreement).

D. Intentional Fraud

24. The Restructuring was intended to place ASF's substantial assets beyond the reach of its creditors, including the Survivors. Both the planning process leading up to the Restructuring, and the Restructuring itself, exhibited multiple and unmistakable badges of fraud evidencing ASF's actual intent to hinder, delay or defraud its creditors, including the following:

(a) The RE Trust Transfers and DLF Trust Transfers were made to an insider insofar as (i) the sole member of RE Corp., as trustee for the RE Trust, is the Archbishop who controls ASF, and (ii) the Trustees of the DLF Trust hold offices with ASF and are

subject to control by the Archbishop. Brown Decl., Exh. L (RE Corp. Bylaws at Art. IV) and Exh. Q (DLF Trust Bylaws, ¶¶ 1.1-1.2).

(b) ASF retained control of the real properties under RE Corp.'s bylaws by virtue of the fact that the Archbishop continued to hold the exclusive power to purchase, sell, lease, or improve real estate, and ASF retained management control pursuant to the Real Estate Support Services Agreement. Brown Decl., Exh. L (RE Corp. Bylaws at Art. V (e)), and Exh. M (RE Support Services Agreement, ¶ 1).

(c) ASF retained control of the assets of the DLF Trust based on the required composition of the Trustees from specified ASF positions, the Archbishop's sole discretion to appoint or remove the Trustees, and pursuant to the D&L Fund Support Services Agreement. Brown Decl., Exh. Q (DLF Trust Bylaws, ¶¶ 1.1-1.2), and Exh. U (DLF Support Services Agreement, ¶ 1).

(d) ASF was subject to pending and threatened litigation when it formulated the Restructuring and made the RE Trust Transfers. See, e.g., Brown Decl., Exhs. V and W (Doe 1 and Doe 70 complaints).

(e) During a meeting of the Archdiocesan Consultors on September 5, 2007, the Archbishop reported on sexual abuse cases that "have had to be settled" and advised that it is important to know "that this is something that is still being dealt with through attorneys, insurance companies, and the Archdiocesan Finance Council." Brown Decl., Exh. X (Consultors Meeting Minutes at p. 4) (Emphasis added).

(f) As early as December 2007, ASF expressed concerns about veil piercing and enterprise liability. Brown Decl., Exh. G (Agenda re ASF Corporate Reorganization, item 1).

(g) On or about May 8, 2009, during a special meeting of the College of Consultors, the Finance Council, and the Presbyteral Council of ASF, a slideshow was presented stating that the purpose of the Restructuring was to "offer our parishes (and our Archdiocese) greater protection within the context of civil litigation." Brown Decl., Exh. I (PowerPoint presentation, p. 4 re Advantages of Incorporation).

(h) On August 9, 2013, during a meeting of the Archdiocesan Pastoral Council, the Archbishop reported the existence of seventeen accusations against a priest, allegedly having happened 30 years ago. The Archbishop acknowledged, "In effect, there is no statute of limitations. This worrisome issue involves sadness . . . and also regarding the new financial concerns for the ASF." Brown Decl., Exh. Y (Pastoral Council Meeting Minutes at p. 5) (Emphasis added).

(i) ASF's former property manager testified in a deposition that the Restructuring was meant to "protect the assets of the archdiocese so that they weren't all wide- open under the Archdiocese of Santa Fe . . . [T]he individual parishes could be responsible for their own assets and liabilities." Brown Decl., Exh. Z (Deposition at pp. 31-32, line 18 through 10).

(j) The Restructuring involved the transfer of most of ASF's financial and real estate assets.

(k) The Restructuring was based on similar restructurings of other diocese within the United States, which were all done in in response to escalating sexual abuse claims and extended limitation periods for the Survivors to bring suit.

(l) The Restructuring was initiated by ASF, alone, not the Parishes as alleged beneficiaries of the RE Trust. On July 10, 2012, the Presbyteral Council discussed parish incorporation and reported, "At the convocation, every pastor will get the

documents for their parish already signed by [the Archbishop]." Brown Decl., Exh. AA (Presbyteral Council Meeting Minutes at p. 5). In this manner, the Restructuring was presented to the Parishes as a fait accompli for ASF's benefit and for the purpose of shielding assets of ASF, while maintaining control of the transferred assets.

E. Unrecorded Interests in Real Property

25. ASF did not transfer all of its real property to the RE Trust. ASF contends that it still holds legal title to real estate worth $57.4 million "in trust" for the Parishes (the "Disputed Real Property"). The Disputed Real Property that ASF allegedly holds in trust for the Parishes is listed on Exhibit 8 to ASF's SOFA. See Brown Decl., Exh. T (SOFA at Item 21) and Exh. BB (SOFA Exhibit 8).

26. The Committee understands that the Parishes are not reflected on deeds of the Disputed Real Property and that their purported beneficial interests in ASF's property are not recorded.

VI. CONCLUSION

ASF refuses to pursue the Complaints because of its profound conflict and in violation of its duty to maximize the value of the estate for the benefit of its creditors. The huge dollar value of the transferred assets, coupled with the strength of the claims shows they are well worth pursuing, notwithstanding the inevitable cost. The Complaints state colorable claims that would not be subject to motions to dismiss have the potential to bring tens if not hundreds of millions of dollars value to the estate.

For the foregoing reasons, the Committee requests an order: (i) granting it exclusive authority to commence, prosecute, and settle the Complaints; and (ii) compelling ASF to provide information to the Committee revealing the identity of the ten parishes with the largest alleged beneficial interest in the DLF Trust.

Respectfully Submitted,

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CERTIFICATE OF SERVICE

[PLACEHOLDER, not from the filing] I certify that on [date], I filed this memorandum electronically through the CM/ECF system, which caused the parties registered for electronic service to be served. [Attorney Name]